TERMS & CONCEPTS · 1

Commitment

ANSWER · 1

A title insurer's conditional promise to issue a specified policy once certain requirements are met and subject to certain exceptions. It is NOT itself a policy and creates no liability until the transaction closes and the policy is issued.

TERMS & CONCEPTS · 2

Policy

ANSWER · 2

The final contract of indemnity issued at closing, insuring the owner or lender against covered title defects up to the policy amount, as of the policy date.

TERMS & CONCEPTS · 3

Exception

ANSWER · 3

An item listed in Schedule B of a commitment or policy that the insurer excludes from coverage (e.g., a specific easement, lien, or CC&R) because it showed up in the title search.

TERMS & CONCEPTS · 4

Requirement

ANSWER · 4

An item on Schedule B-I of a commitment that must be satisfied before the title company will issue the policy — e.g., pay off an existing lien, record a release.

TERMS & CONCEPTS · 5

Endorsement

ANSWER · 5

A form attached to a policy that modifies its coverage — usually expanding or clarifying it — for an additional premium.

TERMS & CONCEPTS · 6

Insurer / Underwriter

ANSWER · 6

The title insurance company that assumes the risk and stands behind the policy. The underwriter also sets the guidelines for what risks its agents may insure.

TERMS & CONCEPTS · 7

Chain of Title

ANSWER · 7

The chronological sequence of recorded documents (deeds, liens, releases) showing how ownership of a parcel has passed from one party to the next over time.

TERMS & CONCEPTS · 8

Closing and Settlement

ANSWER · 8

The process of finalizing a real estate transaction: signing documents, disbursing funds, and recording the conveyance so title passes to the buyer.

TERMS & CONCEPTS · 9

Title Agent

ANSWER · 9

A person or agency authorized by a title insurance company to solicit business, examine title, and issue policies on the underwriter's behalf.

TERMS & CONCEPTS · 10

Fiduciary Responsibilities

ANSWER · 10

The title agent's legal duty to handle client funds (earnest money, closing funds) with the highest good faith — keeping them separate from the agent's own money and using them only as instructed.

TERMS & CONCEPTS · 11

Search and Examination

ANSWER · 11

The two-step process of pulling every recorded document affecting a parcel (the search), then analyzing it to determine the state of title and what must be cleared before insuring (the examination).

TERMS & CONCEPTS · 12 EXAM-STYLE

Which form can modify or change a title insurance policy?

ANSWER · 12

Endorsement

Change an insurance policy = ENDORSEMENT.

An endorsement is a form that changes or adds to a policy's coverage. Colorado's rate regulations also address endorsements.

TERMS & CONCEPTS · 13 EXAM-STYLE

Which best defines "closing and settlement services"?

ANSWER · 13

Services for all necessary parties in a real estate transaction, including receiving and disbursing money

Two phrases: ALL NECESSARY PARTIES + RECEIPT/DISBURSEMENT OF MONEY.

C.R.S. §10-11-102(3.5) defines closing and settlement services as services for all necessary parties connected with selling, leasing, encumbering, mortgaging, or creating a secured interest in real property, including receiving and disbursing money associated with the transaction.

TERMS & CONCEPTS · 14 EXAM-STYLE

The purpose of a title commitment is to:

ANSWER · 14

Obligate the insurer to issue a policy once the stated requirements are satisfied

COMMITMENT = conditional promise to issue a policy. It is not coverage, and it runs to the proposed insured — not to "all parties."

Colorado consumer-protection rules require the commitment to disclose the record vested owner, exclude generic exceptions in an Owner's Policy commitment, and be updated before closing.

TERMS & CONCEPTS · 15 EXAM-STYLE

Closing and settlement services are best represented by:

ANSWER · 15

Receiving and disbursing the money of the parties

Money in and money out = CLOSING & SETTLEMENT. Search / commitment / policy = the insurance side.

C.R.S. §10-11-102(3.5) — services for all necessary parties connected with selling, leasing, encumbering, or mortgaging real property, including receiving and disbursing money.

TERMS & CONCEPTS · 16 EXAM-STYLE

Which title entity guarantees payment of a claim covered by a title insurance policy?

ANSWER · 16

The underwriter

AGENT issues the policy. UNDERWRITER pays the claim. PLANT is the records library.

C.R.S. §10-11-102 definitions — a title insurance company has the power to insure titles to real property; an agent is authorized to solicit, collect premiums, and issue or countersign policies on its behalf.

TITLE INSURANCE POLICIES · 1

Owner's Policy (ALTA)

ANSWER · 1

Insures the buyer/owner's title interest for as long as they (or their heirs) own the property. The policy amount is typically the purchase price.

TITLE INSURANCE POLICIES · 2

Loan Policy

ANSWER · 2

Insures the lender's security interest in the property up to the loan amount. Coverage generally decreases as the loan is paid down and ends when the loan is satisfied.

TITLE INSURANCE POLICIES · 3

Construction Loan Policy

ANSWER · 3

A loan policy issued during construction financing, often updated with endorsements ("date-downs") as construction draws are disbursed, to protect the lender's priority at each stage.

TITLE INSURANCE POLICIES · 4

Insuring Clause

ANSWER · 4

The section of a policy stating exactly what the insurer promises to cover — e.g., loss from title being vested other than as stated, or from liens/encumbrances.

TITLE INSURANCE POLICIES · 5

Conditions and Stipulations

ANSWER · 5

The policy's operating rules: how to file a claim, the insurer's duty to defend, subrogation rights, and what limits or voids coverage.

TITLE INSURANCE POLICIES · 6

Exclusions from Coverage

ANSWER · 6

Standard, pre-printed risks every ALTA policy leaves uninsured no matter what the search shows — e.g., zoning/governmental police power, eminent domain, and matters created by or known to the insured but not disclosed to the insurer.

TITLE INSURANCE POLICIES · 7

Schedule A

ANSWER · 7

The part of a policy/commitment identifying the insured, the policy amount, the estate insured, and the vested owner.

TITLE INSURANCE POLICIES · 8

Schedule B

ANSWER · 8

The part of a policy/commitment listing exceptions to coverage — Part I: requirements to close; Part II: standing exceptions that remain even after closing.

TITLE INSURANCE POLICIES · 9

Deed of Trust = Mortgage (for insuring purposes)

ANSWER · 9

In all forms of title evidence approved for use by title insurers, a real property security instrument identified on its face as a "deed of trust" is defined the same as a mortgage.

TITLE INSURANCE POLICIES · 10

Unmarketability of Title Coverage

ANSWER · 10

Protection against title so clouded by defects that a reasonable buyer would refuse it. An ALTA Owner's Policy insures against this — a bare Commitment for Title Insurance does not.

TITLE INSURANCE POLICIES · 11 EXAM-STYLE

What would permit removal of a title exception for lack of access?

ANSWER · 11

Evidence of a recorded easement, right-of-way, or other legal access

Access exception → prove LEGAL access, not just physical access.

Easements and rights-of-way are core Rights & Interests topics. There's no Colorado statute saying any recorded easement automatically forces removal — the easement must actually establish satisfactory legal access.

TITLE INSURANCE POLICIES · 12 EXAM-STYLE

A title insurance policy indemnifies the insured against loss or damage suffered by reason of:

ANSWER · 12

Liens or encumbrances, defects in title, or unmarketability of title

Remember the three: LIENS/ENCUMBRANCES → DEFECTS → UNMARKETABILITY.

C.R.S. §10-11-102(8) defines title insurance as insuring, guaranteeing, or indemnifying owners or others interested in real property against loss or damage resulting from liens or encumbrances upon, defects in, or unmarketability of, title.

TITLE INSURANCE POLICIES · 13 EXAM-STYLE

Title insurance indemnifies which of the following against loss suffered by reason of defects in the title?

A. A successor by merger to the named insured
B. The real estate agent in the transaction
C. A third-party claimant asserting an interest
D. An attorney-in-fact who signed under a power of attorney

ANSWER · 13

A successor by merger to the named insured

Successor by MERGER steps into the insured's shoes. A CLAIMANT is who you're insured against, never who you insure.

ALTA policy Conditions (definition of "Insured"); C.R.S. §10-11-102(8) covers owners "or others interested in real property."

TITLE INSURANCE POLICIES · 14 EXAM-STYLE

Which policy protects the lender from loss resulting from a title defect?

ANSWER · 14

Mortgage policy

Lender → MORTGAGE / LOAN policy. Buyer → OWNER'S policy.

In Colorado title practice a security instrument identified on its face as a "deed of trust" is defined the same as a mortgage for insuring purposes, so "mortgage policy" and "loan policy" mean the same thing here.

TITLE INSURANCE POLICIES · 15 EXAM-STYLE

Which of the following is a matter found in Schedule A of a title insurance policy?

A. The description and legal identification of the insured land
B. The list of exclusions from coverage that apply to every policy
C. An explanation of the policy conditions and the insurer's duties
D. Definitions of the terms used throughout the policy

ANSWER · 15

The description and legal identification of the insured land

Schedule A = the FACTS (who, how much, which land).

Schedule A = the facts of this transaction. Schedule B-I = requirements to clear before closing. Schedule B-II = exceptions that survive closing.

TITLE INSURANCE POLICIES · 16 EXAM-STYLE

Which of the following may be listed as an exception in Schedule B, Part II, of a title insurance policy?

A. Parties in possession of the land
B. Lack of access to and from the land
C. Protection from unknown heirs of previous owners
D. Protection against forgeries and fraudulent conveyances

ANSWER · 16

Parties in possession of the land

If a choice describes PROTECTION, it is coverage — not an exception.

Schedule B-II holds the exceptions that survive closing. An exception removes something from coverage, so anything phrased as protection belongs to the insuring provisions instead.

TITLE INSURANCE POLICIES · 17 EXAM-STYLE

A basic title insurance policy may provide coverage for which of the following, subject to the policy terms and exclusions?

A. Certain claims that were never recorded in the public records
B. All water rights and ditch rights appurtenant to the land
C. All mineral rights, including those severed from the surface
D. Real estate taxes that will become due and payable after closing

ANSWER · 17

Certain claims that were never recorded in the public records

Hidden / UNRECORDED risks → can be covered. Water, minerals, future taxes → not.

Coverage for off-record risks is always "subject to the policy terms and exclusions" — the standard ALTA exclusions (zoning and governmental police power, eminent domain, and matters created or known by the insured but not disclosed to the insurer) still apply.

YOUR OWN CARD

ANSWER

YOUR OWN CARD

ANSWER

YOUR OWN CARD

ANSWER

REAL ESTATE OWNERSHIP · 1

Fee Simple

ANSWER · 1

The most complete form of ownership — the owner holds all rights to the property indefinitely, subject only to governmental powers (taxation, eminent domain, police power, escheat) and any recorded encumbrances.

REAL ESTATE OWNERSHIP · 2

Joint Tenancy

ANSWER · 2

Co-ownership with an automatic right of survivorship — when one joint tenant dies, their share passes directly to the surviving joint tenant(s), not through probate. Traditionally requires unity of time, title, interest, and possession.

REAL ESTATE OWNERSHIP · 3

Tenancy in Common

ANSWER · 3

Co-ownership where each owner holds an undivided (possibly unequal) interest with NO right of survivorship — a deceased owner's share passes through their estate/will, not automatically to co-owners.

REAL ESTATE OWNERSHIP · 4

Life Estate

ANSWER · 4

An ownership interest that lasts only for the life of a named person (the "life tenant"). Upon that person's death, the property passes automatically to the remainderman named in the deed.

REAL ESTATE OWNERSHIP · 5

Leasehold Estate

ANSWER · 5

A tenant's right to possess and use real property for a defined term under a lease — distinguished from a "freehold" (ownership) estate.

REAL ESTATE OWNERSHIP · 6

Four Unities of Joint Tenancy

ANSWER · 6

Time, Title, Interest, and Possession — all joint tenants must acquire their interest at the same time, by the same document, with equal shares, and equal right to possess the whole property. Break one unity and it becomes a tenancy in common.

REAL ESTATE OWNERSHIP · 7

Severing a Joint Tenancy

ANSWER · 7

A joint tenant can unilaterally break the joint tenancy — e.g., by conveying their interest to a third party — which converts that share into a tenancy-in-common interest.

REAL ESTATE OWNERSHIP · 8

Colorado & Marital Property

ANSWER · 8

Colorado is a common-law / equitable-distribution state, NOT a community property state — spousal ownership follows title and equitable division rules rather than automatic 50/50 community property rules.

REAL ESTATE OWNERSHIP · 9 EXAM-STYLE

An interest in real property for a specific period of time is a:

ANSWER · 9

Leasehold estate

Specific time → LEASE. Specific person's lifetime → LIFE ESTATE.

General real-property knowledge rather than a Colorado-specific rule. Fee simple, life estate, and leasehold are the core estates in Real Estate Ownership.

REAL ESTATE OWNERSHIP · 10 EXAM-STYLE

A husband and wife own property as joint tenants. One spouse conveys their entire interest to the other spouse. What is the resulting ownership status?

ANSWER · 10

Sole ownership in fee simple by the receiving spouse

Two owners A + B. A gives ALL of A's interest to B → B owns 100%. If A sells to outside C instead → think severance / tenancy in common.

Colorado recognizes joint tenancy with a right of survivorship and allows severance of joint-tenancy interests by conveyance.

REAL ESTATE OWNERSHIP · 11 EXAM-STYLE

Which form of ownership does NOT have an automatic right of survivorship?

A. Tenancy in common
B. Joint tenancy
C. Tenancy by the entirety
D. Community property with right of survivorship

ANSWER · 11

Tenancy in common

Only TENANCY IN COMMON lacks survivorship — it is the one that goes through the estate.

Colorado is a common-law / equitable-distribution state, not a community property state, and does not recognize tenancy by the entirety.

YOUR OWN CARD

ANSWER

RIGHTS & INTERESTS · 1

Easement

ANSWER · 1

A non-possessory right to use another's land for a specific purpose (e.g., access, utilities) — it does not transfer ownership, only a right of use.

RIGHTS & INTERESTS · 2

Right of Way

ANSWER · 2

A specific type of easement granting the right to pass over another's land.

RIGHTS & INTERESTS · 3

Voluntary Lien

ANSWER · 3

A lien the property owner agrees to, such as a deed of trust securing a mortgage loan.

RIGHTS & INTERESTS · 4

Involuntary Lien

ANSWER · 4

A lien created by law or by a creditor's action without the owner's consent — such as a judgment lien, tax lien, or mechanic's lien.

RIGHTS & INTERESTS · 5

Mechanic's Lien (Colorado)

ANSWER · 5

A lien for unpaid labor or materials on a property. Under Colorado's curative statute (C.R.S. 38-22-109(8)), an unenforced mechanic's lien is generally cured/unenforceable of record after about 13 months.

RIGHTS & INTERESTS · 6

Judgment Lien (Colorado)

ANSWER · 6

Under Colorado's curative statute (C.R.S. 13-52-102), a general judgment lien is generally cured after about 6 years if not renewed — but liens tied to certain federal judgments or child support run much longer (around 20 years).

RIGHTS & INTERESTS · 7

Federal Tax Lien

ANSWER · 7

A lien the IRS can file against a taxpayer's property, generally cured after about 10 years under the curative statute framework. Importantly, an unfiled/unindexed general federal tax lien can still be valid as a "secret lien" against the heirs/devisees of the owner.

RIGHTS & INTERESTS · 8

Covenants, Conditions & Restrictions (CC&Rs)

ANSWER · 8

Private contractual restrictions on how property may be used, typically recorded by a developer or HOA. They run with the land and bind future owners — but they are classified as an "encumbrance," not a "lien," since they don't secure a debt.

RIGHTS & INTERESTS · 9 EXAM-STYLE

How many years after the final payment or performance due date does an unreleased recorded mortgage or deed of trust generally cease to be a lien in Colorado?

ANSWER · 9

15 years

Recorded mortgage/deed of trust → 15 YEARS after the recorded final due date.

C.R.S. §38-39-201. If the final due date can't be determined from the recorded instrument, Colorado provides another method for determining the date.

RIGHTS & INTERESTS · 10 EXAM-STYLE

For how long can a Colorado mechanic's lien continue against the property without commencement of an enforcement action?

ANSWER · 10

6 months

Mechanic's lien ENFORCEMENT action = 6 MONTHS.

C.R.S. §38-22-110 — action must be commenced within six months.

RIGHTS & INTERESTS · 11 EXAM-STYLE

Which of the following is an encumbrance but not necessarily a lien?

A. A mortgage
B. A federal tax lien
C. An easement
D. A judgment lien

ANSWER · 11

An easement

LIEN = secures money. ENCUMBRANCE = anything that burdens title. Easements and CC&Rs are encumbrances that are NOT liens.

General title principle; Colorado standard/pre-printed exceptions treat easements and rights-of-way as encumbrances.

RIGHTS & INTERESTS · 12 EXAM-STYLE

Which of the following liens or encumbrances is involuntary?

A. A financing statement
B. A rent or lease agreement
C. A mortgage lien
D. A mechanic's lien

ANSWER · 12

A mechanic's lien

Owner SIGNED it → voluntary. Imposed BY LAW → involuntary (mechanic's, judgment, tax).

C.R.S. §38-22 (mechanic's liens). Compare with the enforcement deadline and curative period elsewhere in the quizzes.

LEGAL DESCRIPTIONS · 1

Metes and Bounds

ANSWER · 1

A legal description using compass directions and distances from a defined point of beginning, tracing the boundary until it closes back on itself. Common for irregular parcels.

LEGAL DESCRIPTIONS · 2

Section, Township, and Range

ANSWER · 2

The rectangular government survey system dividing land into 6-mile-square townships, each split into 36 one-mile-square sections (640 acres each) — used to describe unplatted rural land.

LEGAL DESCRIPTIONS · 3

Lot and Block

ANSWER · 3

A legal description that refers to a recorded subdivision plat by lot number, block number, and the plat's filing information — used for platted (subdivided) property.

LEGAL DESCRIPTIONS · 4

Platted vs. Unplatted Land

ANSWER · 4

Platted land has been formally subdivided and recorded on a plat map (described by lot and block). Unplatted land has not, and is typically described by metes and bounds or section/township/range.

LEGAL DESCRIPTIONS · 5

Point of Beginning (POB)

ANSWER · 5

The fixed starting/ending point in a metes and bounds description. The description must return to this exact point for the description to "close."

LEGAL DESCRIPTIONS · 6

Essential Elements of a Good Legal Description

ANSWER · 6

Concise and clear, with a locatable point of beginning and definite tie-points, so the parcel it describes can be found and distinguished from every other parcel.

LEGAL DESCRIPTIONS · 7

"Lots 1 to 6 inclusive"

ANSWER · 7

"Inclusive" means both endpoints are included — so "Lots 1 to 6 inclusive" means Lots 1, 2, 3, 4, 5, AND 6 (six lots total), not five.

LEGAL DESCRIPTIONS · 8

Describing a Lot Plus Part of Another

ANSWER · 8

When combining an entire lot with only part of another (e.g., the N½ of Lot 3 and all of Lot 4), each portion must be described separately and precisely — a vague combined reference like "the N½ of Lots 3 and 4" is wrong and ambiguous.

LEGAL DESCRIPTIONS · 9 EXAM-STYLE

A standard township contains how many sections?

ANSWER · 9

36

6 × 6 = 36 sections.

General real-property knowledge rather than a Colorado-specific rule. Section, township, and range is a core legal-description method.

LEGAL DESCRIPTIONS · 10 EXAM-STYLE

A lot-and-block legal description is based on or found in a:

ANSWER · 10

Recorded subdivision plat

Lot + Block = PLAT.

Lot and block is one of the main legal-description methods, along with section-township-range and metes and bounds.

LEGAL DESCRIPTIONS · 11 EXAM-STYLE

"Lots 1 through 6" in a legal description refers to:

ANSWER · 11

Parcels in a recorded subdivision plat

LOT numbers ⇒ a recorded PLAT ⇒ subdivision parcels. "Unplatted" can never have lots. Also remember "Lots 1 to 6 inclusive" = six lots, not five.

Lot-and-block is one of the three main legal-description methods, alongside metes and bounds and section-township-range.

YOUR OWN CARD

ANSWER

METHODS OF TRANSFER · 1

Warranty Deed

ANSWER · 1

A deed in which the grantor makes formal guarantees (covenants of title) about the property's title, promising to defend the grantee against title claims — including those arising before the grantor owned the property.

METHODS OF TRANSFER · 2

Quitclaim Deed

ANSWER · 2

A deed that conveys whatever interest the grantor has (if any), with no warranties or guarantees about the quality of title — often used to clear a title cloud or transfer between family members.

METHODS OF TRANSFER · 3

Deed of Trust

ANSWER · 3

Colorado's primary security instrument for real estate loans (used instead of a mortgage). Involves three parties — borrower (trustor), lender (beneficiary), and a public trustee — who holds legal title as security until the debt is paid.

METHODS OF TRANSFER · 4

Foreclosure

ANSWER · 4

The legal process by which a lender or lienholder forces the sale of property to satisfy an unpaid debt after default. In Colorado, deed of trust foreclosures are typically handled through the county Public Trustee's office.

METHODS OF TRANSFER · 5

Probate

ANSWER · 5

The court-supervised process of administering a deceased person's estate — validating a will (if any) and distributing assets, including real property, to heirs or beneficiaries. Under Colorado's Uniform Probate Code, it can proceed as informal or formal proceedings.

METHODS OF TRANSFER · 6

Power of Attorney (POA) in a Conveyance

ANSWER · 6

A document authorizing someone (the attorney-in-fact) to sign documents, including deeds, on another's behalf. For title insurance purposes, the attorney-in-fact's authority to convey real property should be evidenced/recorded in the chain of title.

METHODS OF TRANSFER · 7

Acknowledgment

ANSWER · 7

A notary's certification that the person signing a document appeared before them and confirmed they signed it voluntarily — required for most deeds to be recordable.

METHODS OF TRANSFER · 8

Requirements to Record a Deed in Colorado

ANSWER · 8

Generally a deed must be signed and acknowledged (notarized) and contain a legal description and the grantee's mailing address. Colorado does NOT require witnesses or a seal on a deed.

METHODS OF TRANSFER · 9 EXAM-STYLE

The process by which a deed of trust or mortgage is enforced against real property is called:

ANSWER · 9

Foreclosure

Enforce a mortgage/deed of trust = FORECLOSURE. Unpaid property taxes = TAX SALE. Name spelled differently but sounds the same = IDEM SONANS.

Colorado deed-of-trust foreclosures are typically administered through the county Public Trustee. Note the contrast with a tax sale under the treasurer's-deed process (see the treasurer's deed question elsewhere in the quizzes).

METHODS OF TRANSFER · 10 EXAM-STYLE

After a Colorado tax lien sale, approximately how long must pass before a lawful holder may pursue a treasurer's deed?

ANSWER · 10

3 years

Tax lien sale → Treasurer's deed → think 3 YEARS.

SB26-144 (2026); the statutory deed form also states that more than three years have elapsed since the tax lien sale.

METHODS OF TRANSFER · 11 EXAM-STYLE

Which of the following is recorded in the county clerk and recorder's office?

A. A bill of sale
B. A deed of trust
C. The HUD/closing settlement statement
D. The real property transfer declaration

ANSWER · 11

A deed of trust

Recorded = documents affecting title to REAL property. TD-1000 → assessor, not the recorder. Settlement statement → nobody, it just stays in the file.

Colorado recording statutes, C.R.S. §38-35-109; TD-1000 filed with the assessor under C.R.S. §39-14-102.

METHODS OF TRANSFER · 12 EXAM-STYLE

The legal proceeding by which title to real property is transferred upon the death of the owner is:

ANSWER · 12

Probate

Death → PROBATE. Default → FORECLOSURE. Possession over time → ADVERSE POSSESSION. Government taking → CONDEMNATION.

Colorado's Uniform Probate Code allows either informal or formal proceedings.

COLORADO LAWS & REGULATIONS · 1

Title Insurance (CO definition)

ANSWER · 1

Insuring, guaranteeing, or indemnifying owners of real property against loss or damage from liens or encumbrances upon, defects in, or the unmarketability of, the title to that property.

COLORADO LAWS & REGULATIONS · 2

Title Insurance Agent

ANSWER · 2

A person authorized by a title insurance company to solicit insurance, collect premiums, or issue/countersign policies on its behalf.

COLORADO LAWS & REGULATIONS · 3

Title Entity

ANSWER · 3

Collectively refers to title insurance agents, title insurance agencies, AND title insurance companies.

COLORADO LAWS & REGULATIONS · 4

TBD Commitment

ANSWER · 4

A report, in the form of a commitment, furnished PRIOR to receiving an application for title insurance — before the buyer, sales amount, and loan amount are known.

COLORADO LAWS & REGULATIONS · 5

Gap Coverage

ANSWER · 5

Insures against loss from matters appearing of record in the clerk & recorder's office between the date of the title commitment and the date the closing documents are actually recorded.

COLORADO LAWS & REGULATIONS · 6

Rate Filing Requirement

ANSWER · 6

Title insurance rates/fees must be filed electronically with the Commissioner, supported by justification (data), and cannot take effect earlier than 30 days after the Commissioner receives them.

COLORADO LAWS & REGULATIONS · 7

Volume Discounts

ANSWER · 7

Different title insurance rates may be filed for different counties, but NOT for different risks within the same county.

COLORADO LAWS & REGULATIONS · 8

Prohibited: Commingling

ANSWER · 8

A title entity may never commingle fiduciary funds with its own operating or personal accounts.

COLORADO LAWS & REGULATIONS · 9

Prohibited: Waiving the Rate

ANSWER · 9

A title entity cannot charge less than its filed/scheduled rate or fee, or waive it, for any client.

COLORADO LAWS & REGULATIONS · 10

Permitted: Business Meals/Events

ANSWER · 10

A title entity MAY pay for business meals or sporting events with a settlement producer only when at least one title insurance producer attends for every four settlement producers present.

COLORADO LAWS & REGULATIONS · 11

Title Commitment Requirements

ANSWER · 11

Must disclose the record vested owner, may NOT contain generic exceptions in an Owner's Policy commitment, and must be updated before closing.

COLORADO LAWS & REGULATIONS · 12

Policy Issuance Deadline

ANSWER · 12

A title entity must record closing documents within 7 days of closing and issue the final policy within 90 calendar days of closing.

COLORADO LAWS & REGULATIONS · 13

Mineral Estate Disclosure

ANSWER · 13

A title commitment for an Owner's Policy must disclose, in the commitment itself, if the mineral estate has been severed, leased, or conveyed from the surface estate.

COLORADO LAWS & REGULATIONS · 14

Record Retention

ANSWER · 14

Closing/settlement/escrow files must be retained for 7 years. A title entity must respond to a Division examination request within 10 calendar days, and to a Division inquiry within 20 calendar days.

COLORADO LAWS & REGULATIONS · 15

Good Funds Law

ANSWER · 15

Closing funds must be available for immediate withdrawal before they can be disbursed at closing.

COLORADO LAWS & REGULATIONS · 16

Insurance Commissioner

ANSWER · 16

Heads the Division of Insurance. Appointed by the Governor and confirmed by the Senate. Conducts financial exams of insurers at least once every 5 years, and market conduct exams as often as deemed appropriate.

COLORADO LAWS & REGULATIONS · 17

Commissioner's Core Powers

ANSWER · 17

Supervises the business of insurance; issues certificates of authority to title insurance companies; examines all license requests/applications; reviews insurers' annual statements; conducts examinations and investigations; disseminates general insurance information to the public; and adopts rules to ensure financial solvency and a competitive marketplace.

COLORADO LAWS & REGULATIONS · 18

Market Conduct Exams vs. Financial Exams

ANSWER · 18

Market conduct exams happen as often as the Commissioner deems appropriate (no fixed schedule). Financial exams of insurers must happen at least once every 5 years, following NAIC and the Colorado insurance examiner's handbook guidelines.

COLORADO LAWS & REGULATIONS · 19

Commissioner: Hearings & Producer Discipline

ANSWER · 19

Before the Commissioner can place a producer on probation, suspend, revoke, or refuse to issue/continue/renew a license, the producer is entitled to notice and a hearing. The Commissioner's final action is subject to judicial review.

COLORADO LAWS & REGULATIONS · 20

Cease-and-Desist Penalties

ANSWER · 20

Violating a Commissioner's cease-and-desist order carries a civil penalty of up to $10,000 per violation for an insurer, and up to $500 per violation for an individual.

COLORADO LAWS & REGULATIONS · 21

Civil Penalties for Violations

ANSWER · 21

Generally up to $3,000 per violation (capped at $30,000) — but if the insurer/producer knew or reasonably should have known the conduct violated the law, the penalty rises to up to $30,000 per violation, capped at $750,000.

COLORADO LAWS & REGULATIONS · 22

License Suspension/Revocation Grounds

ANSWER · 22

Includes misrepresentation or fraud in the application, misappropriating client funds, a felony or moral-turpitude misdemeanor conviction, cheating on the licensing exam, and failing to pay court-ordered child support or income tax.

COLORADO LAWS & REGULATIONS · 23

Title Producer Licensing Requirement

ANSWER · 23

Colorado requires NO prelicensing education AND NO continuing education for a title insurance producer license — unlike most other insurance license lines. A frequently tested distinction.

COLORADO LAWS & REGULATIONS · 24

Fiduciary Fund Timing

ANSWER · 24

A title agent must deposit fiduciary funds within 3 business days of receipt, remit premiums to the insurer within 45 days, and reconcile the escrow account at least every 45 days.

COLORADO LAWS & REGULATIONS · 25

Change of Address / Assumed Names

ANSWER · 25

A producer must notify the Commissioner of an address change within 30 days. Any assumed/fictitious business name must be registered with the Commissioner before it's used.

COLORADO LAWS & REGULATIONS · 26

Firm Naming Rule

ANSWER · 26

No title insurance agency may use "title insurance," "title guaranty," or "title guarantee" in its name unless followed by the word "agent" or "agency."

COLORADO LAWS & REGULATIONS · 27

Controlled Business

ANSWER · 27

A producer's license cannot be used chiefly to write "controlled business" — defined as when premiums from the producer's own/family/employer business exceed premiums from all other business written in a 12-month period.

COLORADO LAWS & REGULATIONS · 28

Affiliated Business Arrangements (ABAs)

ANSWER · 28

Distinct from controlled business. Permitted when a referring investor's payment is only a legitimate return on investment (not tied to referral volume), with equal ownership costs for all investors, a formal business plan, and required disclosure.

COLORADO LAWS & REGULATIONS · 29

Curative Statutes (concept)

ANSWER · 29

Colorado law sets specific time periods after which certain title defects (old liens, defective acknowledgments, adverse possession claims) are cured/extinguished of record even without a formal release — e.g., a defective acknowledgment cures after 10 years; adverse possession by mere possession (no color of title) requires 18 years.

COLORADO LAWS & REGULATIONS · 30 EXAM-STYLE

Once Colorado title insurance rates are properly filed, how long do they remain in effect?

ANSWER · 30

They remain in effect until replaced by another effective filing

Filed rates stay in effect until a new or amended filing replaces them. They do not expire on a set schedule.

Colorado requires new or amended title rates to be filed with the Division before their effective date, and a title entity may only charge a rate currently on file and effective. Historical Colorado rulemaking materials expressly explain that filed rates must be used until replaced by another rate filing.

COLORADO LAWS & REGULATIONS · 31 EXAM-STYLE

What is the minimum age to obtain a Colorado resident insurance producer license?

ANSWER · 31

18

Colorado producer license = 18 years old, no exceptions.

C.R.S. §10-2-404 requires an individual resident insurance-producer applicant to be at least 18 years old.

COLORADO LAWS & REGULATIONS · 32 EXAM-STYLE

Which of the following is included in the title insurance premium?

A. Closing and settlement service charge
B. Reasonable profit
C. An unrelated recording charge
D. Service charge for examining evidence of title

ANSWER · 32

Reasonable profit

PREMIUM = risk + cost of doing business + reasonable profit.

C.R.S. §10-11-102(5): the title insurance premium is the amount charged for assumption of the insurance risk, includes the cost of doing business and a reasonable profit, but excludes the service charge.

COLORADO LAWS & REGULATIONS · 33 EXAM-STYLE

An emergency cease-and-desist order may be issued against an unauthorized person or entity when:

ANSWER · 33

The conduct threatens significant, imminent, and irreparable harm to the public

Emergency C&D → IMMINENT + IRREPARABLE harm.

C.R.S. §10-3-904.5 permits an ex parte emergency cease-and-desist order where the person is engaging unlawfully in insurance or violating applicable rules, and the alleged conduct appears fraudulent, creates an immediate public-safety danger, or causes/can reasonably be expected to cause significant, imminent, and irreparable public injury.

COLORADO LAWS & REGULATIONS · 34 EXAM-STYLE

A title entity's payment of an outside attorney's fee, when the attorney's services are required to complete a particular transaction, is:

ANSWER · 34

A prohibited inducement under Regulation 8-1-3

Attorney performs a service → that's a settlement service. Title company PAYS a required outside attorney → prohibited inducement.

3 CCR 702-8, Regulation 8-1-3 — prohibits paying, or offering to pay, the fees of an outside professional (attorney, engineer, appraiser, surveyor) whose services are required by a settlement producer or consumer to structure or complete a particular transaction.

COLORADO LAWS & REGULATIONS · 35 EXAM-STYLE

The Colorado Commissioner of Insurance is required to:

ANSWER · 35

Supervise and enforce compliance with Colorado insurance law

Legislature MAKES law → Commissioner ENFORCES/SUPERVISES it.

C.R.S. §10-1-108 makes it the Commissioner's duty to supervise insurance business so it is conducted according to Colorado law, and to investigate violations.

COLORADO LAWS & REGULATIONS · 36 EXAM-STYLE

A title company's wire-transfer charge is considered a:

ANSWER · 36

Closing and settlement fee

WIRE = closing/settlement fee, NOT premium.

Colorado's official Title Insurance Closing and Settlement Fee Filing form specifically lists "Wire" among closing/settlement fees, along with closing fees, electronic recording, courier/express, and cashier's checks.

COLORADO LAWS & REGULATIONS · 37 EXAM-STYLE

Privacy notices applicable to Colorado insurance licensees are required under:

ANSWER · 37

Colorado Insurance Regulations

Privacy = Regulations 6-4-1 / 6-4-2.

Privacy notices are covered by Colorado Division of Insurance Regulations 6-4-1 and 6-4-2.

COLORADO LAWS & REGULATIONS · 38 EXAM-STYLE

Under Colorado law, a "title insurance entity" means:

ANSWER · 38

A title insurance agent, title insurance agency, or title company

Entity = Agent + Agency + Company (no broker).

C.R.S. §10-11-102(11) defines title insurance entity exactly as a title insurance agent, title insurance agency, or title insurance company.

COLORADO LAWS & REGULATIONS · 39 EXAM-STYLE

What must a Colorado title insurance entity make readily available for review by the public?

ANSWER · 39

Its schedule of currently effective rates and fees

PUBLIC → RATE & FEE SCHEDULE.

Colorado Regulation 8-1-1 requires every title insurance entity to make its schedule of effective rates and fees readily available for public review, covering issued title policies and closing/settlement charges, including endorsements.

COLORADO LAWS & REGULATIONS · 40 EXAM-STYLE

Which of the following is a prohibited practice for a Colorado title entity?

A. Properly disbursing the seller's proceeds under the closing instructions
B. Charging a properly filed fee for the services actually rendered
C. Recording a deed of trust with the county clerk and recorder after closing
D. Guaranteeing the performance or services of a settlement producer

ANSWER · 40

Guaranteeing the performance or services of a settlement producer

If you see "GUARANTEE performance/services of a settlement producer" → PROHIBITED.

Colorado Regulation 8-1-3 expressly prohibits a title entity from guaranteeing or offering to guarantee the performance or services of a settlement producer.

COLORADO LAWS & REGULATIONS · 41 EXAM-STYLE

When a contractual title insurance agent ceases doing business, what must happen to its closing, settlement, and escrow files?

ANSWER · 41

Deposit them with the Division, a title company, or another authorized contractual agent

TITLE FILES = 7 YEARS. Producer/agency change = 10 DAYS.

C.R.S. §10-11-116(4) — retention = at least 7 years.

COLORADO LAWS & REGULATIONS · 42 EXAM-STYLE

In Colorado, no policy of title insurance may be written until the title insurance company or its agent has completed:

ANSWER · 42

A reasonable examination of the title

Before any policy → EXAMINATION of title. Never survey, inspection, or DOI approval.

C.R.S. §10-11-106 — no policy shall be written unless and until the company has caused a reasonable examination of title to be conducted and a determination of insurability made in accordance with sound underwriting practices. The same statute requires evidence of that examination be kept at least 7 years.

COLORADO LAWS & REGULATIONS · 43 EXAM-STYLE

Under Colorado rules, when may a title entity pay an outside professional, such as an attorney, in connection with a transaction?

ANSWER · 43

Only for services actually rendered to the title entity, at fair market value

Paying the OTHER side's required professional = prohibited inducement. Paying fair value for real work actually done for YOU = allowed.

3 CCR 702-8, Regulation 8-1-3; "services rendered by an attorney" are themselves a settlement service under C.R.S. §10-11-102(6.7).

COLORADO LAWS & REGULATIONS · 44 EXAM-STYLE

How many calendar days does a title entity have to respond to an inquiry from the Commissioner of Insurance?

ANSWER · 44

20

EXAMINATION request = 10 days. INQUIRY = 20 days. If 10 isn't offered as a choice, they're asking about the inquiry.

Colorado Regulation 1-1-8 (3 CCR 702-1), Section 5: Examination Request forms = 10 calendar days; any other Division inquiry = 20 calendar days, unless the Division sets a different time in writing.

COLORADO LAWS & REGULATIONS · 45 EXAM-STYLE

When issuing a standard title insurance policy, the title entity is responsible for:

ANSWER · 45

Conducting a reasonable examination of title and determining insurability

The title entity's core duty on every policy: SEARCH, EXAMINE, DETERMINE INSURABILITY. Never inspect, appraise, or guarantee value.

C.R.S. §10-11-106 — reasonable examination of title plus a determination of insurability in accordance with sound underwriting practices.

COLORADO LAWS & REGULATIONS · 46 EXAM-STYLE

A title agency flies two real estate brokers to a golf tournament in the mountains. This practice is considered:

ANSWER · 46

An inducement

If the answer choices include INDUCEMENT and the title company gave a settlement producer something of value, that's the answer. "Gift for referrals" is never correct.

Regulation 8-1-3 — a title entity may not contribute fees, prizes, gifts, or other things of value to a settlement producer.

COLORADO LAWS & REGULATIONS · 47 EXAM-STYLE

Charging less than the filed and effective rate is considered:

ANSWER · 47

A rebate

Undercutting your own filed rate isn't a discount — it's a REBATE, and it's prohibited.

Regulation 8-1-3 (may not charge less than the scheduled rate or fee, or waive a rate or fee); rebate provisions under the unfair-practices statutes.

COLORADO LAWS & REGULATIONS · 48 EXAM-STYLE

A title insurance producer license allows the licensee to:

ANSWER · 48

Write title insurance

The license = permission to WRITE TITLE INSURANCE. Not a law license, not a notary commission.

C.R.S. §10-2-401 et seq. (license required to sell, solicit, or negotiate insurance); C.R.S. §10-11-102(2) defines the business of title insurance.

COLORADO LAWS & REGULATIONS · 49 EXAM-STYLE

When must an insurance producer register an assumed or fictitious business name with the Commissioner?

ANSWER · 49

Prior to using the name

Assumed name → BEFORE you use it. Address change → 30 days AFTER. Producer/agency change → 10 days.

Colorado assumed-name rules — must register any assumed or fictitious name under which the producer conducts business with the Commissioner prior to using the name.

COLORADO LAWS & REGULATIONS · 50 EXAM-STYLE

Upon cessation of business, within what period must the agency return the producer license to the Commissioner?

ANSWER · 50

10 days

Cease business → LICENSE back in 10 DAYS, FILES deposited (and kept 7 years). Don't merge those two numbers.

C.R.S. §10-2-406 (licensing of agencies); file deposit/retention under C.R.S. §10-11-116(4).

COLORADO LAWS & REGULATIONS · 51 EXAM-STYLE

A husband and wife own property as joint tenants. One spouse dies. What is the simplest method to establish the surviving spouse's title?

ANSWER · 51

Record a death certificate and supplementary affidavit with the clerk and recorder

Joint tenant dies → DEATH CERTIFICATE + SUPPLEMENTARY AFFIDAVIT. No probate, no deed.

C.R.S. §38-31-102. The supplementary affidavit must be sworn by an adult with personal knowledge, describe the property, and tie the decedent to the joint tenancy deed. Once recorded, the two documents are prima facie proof of the joint tenant's death. If no death record can be obtained, §38-31-103 allows a substitute affidavit from two or more adults with personal knowledge and no record interest in the property.

COLORADO LAWS & REGULATIONS · 52 EXAM-STYLE

Under Colorado law, a mechanic's lien generally cannot continue to hold the property beyond how many months unless an enforcement action is commenced and notice is recorded?

ANSWER · 52

6 months

ENFORCE a mechanic's lien → 6 MONTHS (sue AND record notice). FILE the lien statement → 4 months.

C.R.S. §38-22-110, titled "Action commenced within six months." Do not confuse it with the lien statement filing deadline in §38-22-109 — generally 4 months, or 2 months for a laborer. Where several liens are of record, one claimant's timely suit and recorded notice can preserve the others, provided all lien claimants of record are named as parties.

COLORADO LAWS & REGULATIONS · 53 EXAM-STYLE

A contractor has begun construction on a property, and excavation and footings have been completed before the construction loan is made. What is the correct action regarding title insurance?

ANSWER · 53

Issue the policy with an indemnity agreement for lien risk

Work started BEFORE the loan recorded → liens relate back → get an INDEMNITY.

C.R.S. §38-22-106(1) — mechanic's liens relate back to the time work commenced (under the owner's contract with the first contractor, or the start of work on the improvement if there is no written contract). A deed of trust recorded after work has begun is therefore generally junior to those liens, which is why construction lenders and title companies treat visible work before recording as a red flag.

COLORADO LAWS & REGULATIONS · 54 EXAM-STYLE

A builder discount on title insurance is permitted when:

ANSWER · 54

It is properly filed and justified with the Insurance Commissioner

Any discount must be FILED and JUSTIFIED, then applied to everyone who qualifies.

Colorado rate law requires rates that are not excessive, inadequate, or unfairly discriminatory, and requires rates — including any discount — to be filed with the Division of Insurance before use.

COLORADO LAWS & REGULATIONS · 55 EXAM-STYLE

If an insurance agent falsely represents that purchasing an insurance policy is equivalent to purchasing stock in the insurance company, what type of violation might this be?

ANSWER · 55

Misrepresentation

Policy = stock? → MISREPRESENTATION. Lie to make them switch → TWISTING. Give value to close → REBATING.

C.R.S. §10-3-1104(1)(a) — misrepresentation and false advertising of insurance policies is an unfair or deceptive practice, including misrepresenting a policy as a security.

COLORADO LAWS & REGULATIONS · 56 EXAM-STYLE

What is NOT correct about notifying the Colorado Insurance Commissioner of an address change?

A. Notification must be in writing
B. Notification must be made within 30 days
C. Notification must be made by telephone
D. Failure to provide notification may be grounds for a penalty

ANSWER · 56

Notification must be made by telephone

Address change → IN WRITING, within 30 DAYS. Never by phone.

C.R.S. §10-2-412. Note the nearby deadlines that are easy to mix up: a licensed agency must report changes to its licensed producers, name, officers, or owners within 10 days (§10-2-406), and a license must be surrendered within 15 days when a licensee stops being a Colorado resident (§10-2-802).

COLORADO LAWS & REGULATIONS · 57 EXAM-STYLE

Under Colorado law, which of the following violates fiduciary responsibility?

A. Remitting premiums to the insurer after deducting an authorized commission
B. Listing premiums held in trust accounts as the producer's own assets
C. Earning interest on premiums held in trust accounts
D. Remitting a return premium to the insured when the policy is cancelled

ANSWER · 57

Listing premiums held in trust accounts as the producer's own assets

Fiduciary funds are NEVER your assets. Commingling is the violation.

Colorado requires premiums and other funds received in a fiduciary capacity to be held in that capacity and accounted for separately — never treated as, or reported as, the producer's own funds.

COLORADO LAWS & REGULATIONS · 58 EXAM-STYLE

A title company has two agents in the same county charging different rates for the same coverage and the same risk. What is this considered?

ANSWER · 58

Unfairly discriminatory

Same risk + same coverage + different price = UNFAIRLY DISCRIMINATORY.

Colorado rate law requires rates that are not excessive, inadequate, or unfairly discriminatory. "Unfairly discriminatory" is the statutory term, and that is the phrase the exam is testing.

YOUR OWN CARD

ANSWER

YOUR OWN CARD

ANSWER